OPEN LETTER · EYE ON SHOALHAVEN COUNCIL

Shoalhaven's $1,084,002 Technology One contract and the lock-in questions

Sent 28 June 2026 · To Council Email · Response requested by 19 July 2026

28 June 2026

Mr Andrew Constance
Chief Executive Officer

Shoalhaven City Council

Dear Mr Constance,

Open letter — Technology One ERP: procurement, vendor lock-in, and the cost questions ratepayers are entitled to ask

I write in the knowledge that correspondence from this publication has, in recent months, been declined on the basis of guidance relating to unreasonable conduct. I note, for the record, that the application of that guidance to a public interest publication with more than 3,800 local readers is itself a matter currently before the NSW Ombudsman.

The questions in this letter are not personal complaints.

They are questions of public administration, put openly, on behalf of a readership that represents approximately 5.1 per cent of Shoalhaven's registered voters. They are questions any member of the public could put at an ordinary council meeting. I put them here, in writing, on the public record — and will publish whatever response is received, including none.

What is at stake

Technology One's OneCouncil platform is now the spine of Shoalhaven City Council's operations. Financial accounts, human resources, recruitment, asset registers, fleet management, and rates administration all run through it. Council's own reports describe the system as "essential" and confirm that staff are "migrating ALL asset register details to Technology One."

That integration is not neutral. The deeper council embeds a single vendor's software across its operations, the more expensive it becomes to question that vendor's pricing, to exit the contract, or to consider alternatives. This is called vendor lock-in. It is a well-documented risk in public sector technology procurement — and it is now clearly operating in Shoalhaven.

What the contract register shows

The publicly reported contract register records Technology One Ltd for "Software Support and Maintenance" at $1,084,002. A separate line records Technology One Limited for an

“eRecruitment Enhancement Package” at $51,642.50. These are the figures council has chosen to make public.

What is not publicly recorded is the total cost of implementing the OneCouncil platform across Shoalhaven City Council —

- including implementation fees,
- configuration,
- data migration,
- staff training, and
- any variation to the original budget.

This publication has not been able to identify, in publicly available council documents, what the original budget for the Technology One implementation was, what the current total expenditure is, or whether costs are on track.

How lock-in became policy

The procurement consequence became visible in December 2025. Council resolved, in closed session, to grant an exemption from competitive tendering under Section 55(3)(i) of the Local Government Act 1993, awarding a contract to Payble Pty Ltd for a new ratepayer payment platform.

The stated justification, made public in the report from closed session (MIN25.656C), was that Payble is “the sole identified offering that integrates with the Councils financial software, Technology One.”

This is the logic of lock-in in action. A decision made at the time of choosing Technology One — whenever and however that decision was made — is now being used to exempt subsequent contracts from competitive tender. The financial details of the Payble contract remain confidential. Ratepayers do not know what they are paying for it, or why that information cannot be disclosed.

The questions this letter asks

1. What was the original procurement method for the Technology One OneCouncil platform — open tender, limited tender, direct negotiation, or exemption? What documentation was presented to council at the time of that decision?
2. What was the original approved budget for the Technology One implementation across all modules? What is the current total expenditure to date, including all variations, extensions, and related contracts?
3. How many contracts have been awarded, or are proposed to be awarded, using Technology One integration compatibility as the basis for a tender exemption? What is the cumulative value of those contracts?
4. The Payble contract was approved in closed session with financial details kept confidential. What is the total value of that contract? What is the justification for keeping

the cost to ratepayers confidential, in circumstances where the contract has already been awarded?
5. What is council's exit strategy if Technology One's pricing becomes uncompetitive, or if the vendor is acquired, merged, or changes its terms? Has any advice been obtained on the total cost of switching to an alternative platform?
6. Has council obtained independent technical or commercial advice on the Technology One implementation, separate from advice provided by Technology One or its partners?

Why these questions matter
Vendor lock-in in local government software is not unusual. What is unusual is when it operates invisibly — when the original procurement is undocumented in public records, when subsequent contracts bypass competitive tender on the basis of that original choice, and when the costs of those downstream contracts are withheld from the people paying for them.

Shoalhaven ratepayers are currently being asked to trust that the Technology One implementation is proceeding on budget, on time, and in their interests. That trust is being asked for in the absence of any public accounting of what the implementation has cost so far, and in the context of a council that has used the Technology One dependency to avoid competitive procurement at least once already.
This publication will report whatever answers are provided to the questions above, and whatever is not answered.

Yours faithfully,

Steve Prothero
Shoalhaven Independent — Substack

Note to councillors receiving a copy of this letter:
The questions above go to whether Shoalhaven ratepayers have received a full public accounting of the Technology One ERP implementation — its original procurement method, its total cost, and the downstream effect of vendor lock-in on council's ability to run competitive tenders. The December 2025 Payble decision (MIN25.656C) is already on the public record: council exempted a contract from tender because Technology One integration was cited as the sole justification.

What is not on the public record is what that contract cost ratepayers, or what the full Technology One implementation has cost since it began. You are in a position to ask these questions through a Question on Notice or a Notice of Motion.

Doing so is one of the most direct ways to place these matters before the public in a forum where a response cannot be declined. This publication will report whatever is raised and whatever is answered.